

Month-End AR Aging and Collections Review

Dynamic Logistics Solutions • July 2026

ACCOUNTS RECEIVABLE AGING AND COLLECTIONS SUMMARY

TO: Chief Financial Officer

FROM: Corporate Controller

DATE: August 5, 2026

SUBJECT: Month-End AR Aging Analysis for July 2026

Overview:

As of July 31, 2026, the gross Accounts Receivable (AR) balance stands at \$8,450,200. The Days Sales Outstanding (DSO) has crept up slightly to 42 days, compared to 39 days at the end of the previous quarter. This increase is primarily driven by delayed settlements from two major retail clients experiencing seasonal liquidity constraints.

Aging Bucket Breakdown:

- Current (0-30 Days): \$5,239,124 (62.0%)
- 31-60 Days Past Due: \$1,859,044 (22.0%)
- 61-90 Days Past Due: \$845,020 (10.0%)
- 90+ Days Past Due: \$507,012 (6.0%)

Problematic Accounts & Collections Action Plan:

1. Orion Retail Enterprises (\$310,000 | 90+ Days):

Orion has missed two promised payment plans. The collections team has escalated this file to our external legal counsel. We have placed a hard hold on all future freight shipments for Orion until the past-due balance is cleared.

2. Vanguard Manufacturing (\$145,000 | 61-90 Days):

Payment is delayed due to an ongoing dispute regarding a damaged LTL shipment from May. Accounts Payable at Vanguard has agreed to remit \$120,000 of the undisputed balance by August 10, while the remaining \$25,000 is reviewed by our cargo claims department.

Allowance for Doubtful Accounts (AFDA) Adjustment:

Given the increased concentration of receivables in the 90+ day bucket, specifically related to Orion Retail Enterprises, accounting recommends increasing the AFDA reserve by \$150,000 for the July close. This will bring the total contra-asset reserve to \$325,000, representing 3.8% of gross AR, which aligns with historical default models.